OBLIQUE TAX INTELLIGENCE

KSA Zakat and Income Tax

SA · ruleset 2026.1

Total zakat and tax	Zakat base	Zakat due
SAR 394,660.98	**SAR 10,000,000.00**	**SAR 154,660.98**
Income tax due	Adjusted net profit	Effective rate on book profit
SAR 240,000.00	**SAR 3,000,000.00**	**13.16%**

Points for review

Investment deduction conditions
Investments are deductible only if held for more than a year in entities that themselves pay zakat in KSA; confirm the counterparties' status.

Mixed ownership: withholding tax and transfer pricing
Dividends to non-resident shareholders attract 5% WHT and related-party transactions must meet transfer pricing documentation thresholds.
Oblique handles WHT filings and TP documentation.

Base rules under 2024 Regulations
Structure confirmed via EY, KPMG and Andersen summaries of MR 1007 (Articles 23 to 28). The exact upper-limit formula under Article 28 was not confirmed from the regulation text and is NOT applied by this engine.

Working paper

Step	Rule	Amount
Book net profit		3,000,000.00
Adjusted net profit	sa.zakat.base	**3,000,000.00**
Share capital		10,000,000.00
Retained earnings / (accumulated losses) at start of year		2,000,000.00
Reserves and provisions		500,000.00
Long-term liabilities		1,500,000.00
Total sources of funds (incl. adjusted net profit)	sa.zakat.base	**17,000,000.00**
Less: net fixed assets	sa.zakat.base	-6,000,000.00
Less: long-term investments	sa.zakat.base	-1,000,000.00
Zakat base before minimum test	sa.zakat.base	**10,000,000.00**
Zakat base attributable to Saudi/GCC shareholders (60%)	sa.zakat.mixed_ownership	6,000,000.00
Zakat at 2.577683% (gregorian year) 6,000,000 x 2.577683%	sa.zakat.rate	**154,660.98**
Adjusted taxable profit attributable to non-Saudi shareholders (40%)	sa.zakat.mixed_ownership	1,200,000.00
Income tax at 20% 1,200,000 x 20%	sa.cit.standard_rate	**240,000.00**
Total zakat and income tax		**394,660.98**

Inputs as entered

Year basis	gregorian

Saudi gcc ownership pct	60
Share capital	10000000
Retained earnings opening	2000000
Reserves and provisions	500000
Long term liabilities	1500000
Book net profit	3000000
Non deductible expenses	0
Exempt or deductible income	0
Net fixed assets	6000000
Long term investments	1000000
Capital work in progress	0
Intangible assets	0
Other deductible assets	0
Brought forward tax losses	0
Scope confirmed	True
Special regime	no

Rules applied, review status and sources

sa.zakat.base — Zakat base = sources of funds (equity, retained earnings, provisions and reserves, long-term and other non-current liabilities, adjusted net profit for the year) less deductions for assets not subject to zakat (net fixed assets, long-term investments, capital work in progress, intangible assets and other deductible items). Minimum base: the base cannot be lower than adjusted net profit. Alternative bases with upper and lower limits apply under Articles 27 and 28.
Status: Verified (secondary sources) · Source: Ministerial Resolution No. 1007 (29 Feb 2024), Articles 23 to 28; amended by MR 947 (2025) and MR 1248 · Effective 2024-01-01
Structure confirmed via EY, KPMG and Andersen summaries of MR 1007 (Articles 23 to 28). The exact upper-limit formula under Article 28 was not confirmed from the regulation text and is NOT applied by this engine.

sa.zakat.mixed_ownership — Companies owned by both Saudi/GCC nationals and non-Saudi persons pay zakat on the Saudi/GCC share of the zakat base and income tax on the non-Saudi share of taxable profit.
Status: Verified · Source: Income Tax Law (Royal Decree M/1 of 1425H), Art. 2; Zakat Regulations · Effective 2004-07-30

sa.zakat.rate — Zakat at 2.5% of the zakat base for a Hijri (lunar) year; for a Gregorian financial year the rate is prorated by days (365/354), giving 2.577683%.
Status: Verified · Source: Executive Regulations for Zakat Collection (Ministerial Resolution No. 1007 of 2024); ZATCA FAQ · Effective 2024-01-01

sa.cit.standard_rate — Corporate income tax at 20% of adjusted net profit attributable to non-Saudi/non-GCC shareholders. Oil and hydrocarbon producers taxed at 50% to 85%; natural gas investment at 20%.
Status: Verified · Source: Income Tax Law (Royal Decree M/1 of 1425H), Art. 7 · Effective 2004-07-30

Assumptions

Entity is a Saudi resident company subject to zakat on the Saudi/GCC share and income tax on the non-Saudi share. Year-end closing balances are used for base items; no partial-year proration of additions. The Article 28 upper limit on the zakat base is not applied (formula pending verification). Figures in SAR.

Desktop calculator

A desktop estimate from your inputs and the rules shown. Not advice. For your numbers, talk to Oblique Consult. Your inputs are not stored.

For a reviewed position based on your facts, contact Oblique Consult: obliqueconsult.com · info@obliqueconsult.com · +971 50 687 3135

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